

Culminating Activity

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Abstract

Provide a concise summary of the study including purpose, methods, results, and conclusions (150–250 words).

Chapter 1: Introduction

Background of the Study

Global sales prediction plays an important role in helping businesses make informed decisions related to marketing strategies, inventory management, budgeting, and future business planning. Many organizations rely on predictive models such as Multiple Linear Regression to analyze trends and forecast sales performance using historical and market-related data. However, one of the common challenges in predictive analytics is the presence of missing data within datasets. Missing values may occur due to incomplete records, human error, system failures, or inconsistent data collection processes. When these missing values are not properly handled, they can negatively affect the accuracy, consistency, and reliability of sales prediction models, leading to poor decision-making and inaccurate forecasts.

This research focuses on examining the effect of missing value handling on improving global sales prediction using Multiple Linear Regression. Specifically, it aims to understand why missing data reduces model performance and how different data cleaning techniques can enhance predictive accuracy. It also highlights the significance of proper data preparation in machine learning and statistical analysis. By identifying effective preprocessing methods, the research can help businesses, researchers, and data analysts develop more reliable prediction models and improve the quality of data-driven decisions in global sales forecasting.

Statement of the Problem

1. What is the effect of missing value handling on improving global sales prediction using Multiple Linear Regression?
2. Why does missing data reduce the accuracy and reliability of sales prediction models?
3. How does applying data cleaning techniques improve the performance of the Multiple Linear Regression model?

Objectives of the Study

General Objective

- To investigate the effect of missing value handling on improving global sales prediction using Multiple Linear Regression.

Specific Objectives

- To determine how missing data affects the accuracy and reliability of sales prediction models.
- To implement and assess data imputation strategies to prevent the loss of valuable data caused by deleting incomplete rows.

Significance of the Study

This study mainly benefits stakeholders who utilize predictive analysis to guide data-driven decision making. By emphasizing the influence of missing data found within datasets used, as well as determining the impact it has to the model's efficacy, the following groups stand to gain:

- **Business Organizations:** Companies heavily rely on these predictive models to analyze trends and forecast sales performance. By proving how the influence of missing data skews the results of analysis, the marketing and sales departments of these organizations can refine and regulate their data collection procedures. These practices upholding data integrity can ensure quality regarding sales forecasting and, in turn, aid in their future executive business decisions and resource allocation.
- **Data Analysts:** This paper can serve as a benchmark to creating and optimizing new prediction models, especially addressing the challenges posed by missing values in their datasets. Analysts can utilize these findings to theorize more of these sophisticated strategies to create more robust, reliable, and statistically accurate analytical tools.
- **Researchers:** Practitioners and professionals under the field of data science and econometrics can refer to this paper. It offers a framework for future studies to compare different machine learning algorithms or imputation techniques surrounding the Multiple Linear Regression model used here.

Scope and Limitations

This research focuses on predicting global video game sales by comparing two data-handling methods which are deleting missing rows and using the Bayesian Linear Regression imputation. The analysis is specifically performed using Multiple Linear Regression within the R programming environment. The primary goal is to determine which data-handling technique leads to a more accurate and reliable prediction model.

Chapter 2: Review of Related Literature

Related Studies

In a study focused specifically on video game sales data from Kaggle, Affan et al. (2024) developed a machine learning-based sales prediction model using several regression algorithms. Their model made use of regression algorithms, including Linear Regression, Ridge Regression, and Gradient Boosting Regressor, to forecast worldwide video game sales based on variables such as genre, platform, publishers, critic reviews, and user ratings. Their work demonstrates that the same video game sales dataset used in this study has been applied in prior research, validating its academic relevance.

Separately, a study on predicting video game sales using supervised learning from the same Kaggle dataset highlighted the impact of missing data on model outcomes. After downloading the dataset, the researcher dropped rows with empty values or filled in missing values to standardize the columns before applying regression modeling, noting that the dataset contained missing score fields for some video games, which posed challenges to prediction reliability. This finding directly parallels the core concern of this research, that unhandled missing data undermines prediction accuracy. Du (2025).

Ahmad et al. (2024) conducted a comprehensive review of machine learning applications specifically for missing value imputation. Their analysis sought to enhance researchers' understanding of MVI methods and facilitate the development of robust interventions in data preprocessing for data analytics, elucidating the strengths and limitations of different ML algorithms in imputing missing values across different types of data. This reinforces the idea that the choice of imputation technique has measurable consequences for downstream model performance.

Related Literature

Multiple Linear Regression

Multiple Linear Regression is a fundamental statistical technique used to model the relationship between one dependent variable and two or more independent variables. According to Fiveable (2024), the goal of MLR is to find the line of best fit that minimizes the sum of squared residuals, where the model takes the form $Y = \beta_0 + \beta_1 X_1 + \beta_2 X_2 + \dots + \beta_k X_k + \epsilon$, with each slope coefficient representing the change in the dependent variable for a one-unit change in the corresponding independent variable, holding all others constant.

The reliability of MLR estimates depends on a set of classical assumptions known as the Gauss-Markov conditions. As explained by Jim (n.d.), the Gauss-Markov theorem states that if a linear regression model satisfies the classical assumptions, then Ordinary Least Squares (OLS) regression produces unbiased estimates that have the smallest variance of all possible linear estimators. When these assumptions are violated, for instance, due to missing data introducing bias or inconsistency into the dataset, the estimates produced by the model can no longer be guaranteed to be optimal.

Missing Data Mechanisms

The theoretical foundation for understanding missing data was established by Rubin (1976) and later expanded upon by Little and Rubin. As described by the Statistical Consulting Centre of the University of Melbourne (n.d.), data is considered Missing Completely at Random (MCAR) if the probability of being missing does not depend on the values of any of the variables in the data, Missing at Random (MAR) if the probability of being missing depends only on observed data, and Missing Not at Random (MNAR) if the probability of missingness is related to the values that would have been observed had the data not been missing. Understanding which mechanism governs the missing values in a dataset is critical because it determines which imputation strategies are appropriate and what biases might be introduced if missing data is simply ignored.

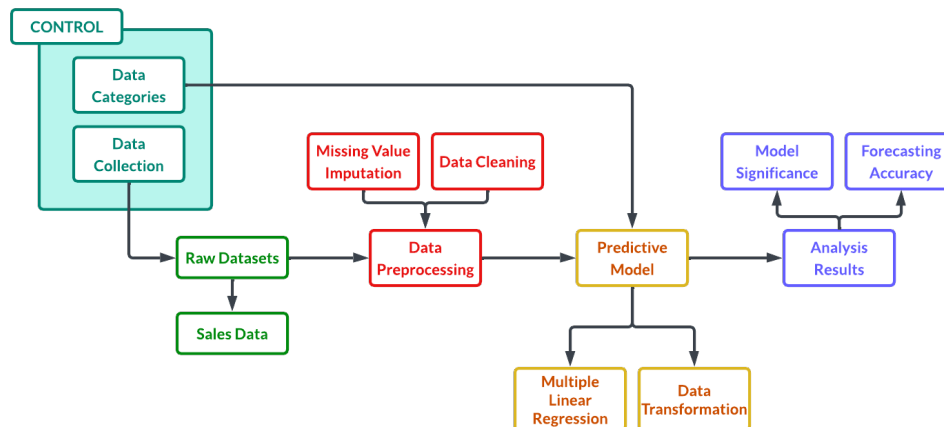
Further elaborated by APXML (n.d.), the MCAR assumption is the simplest scenario, where missingness is purely random and does not have a systematic cause related to the data, while MAR is often a reasonable working assumption when MCAR seems too simplistic and there is no strong domain reason to suspect MNAR. According to ScienceDirect (n.d.), the use of inappropriate methods for handling missing data can lead to bias in parameter estimates, bias in standard errors and test statistics, and inefficient use of data, all of which directly degrade the predictive accuracy of a regression model.

Data Preprocessing and Model Performance

Data preprocessing refers to a set of techniques applied to raw data before it is used for analysis or model training. As highlighted by Lee (2025), simple steps like normalization and feature scaling can have dramatic effects on model performance, and only including features that contribute significantly to prediction accuracy is essential to building a reliable regression model. In the context of sales prediction, preprocessing steps such as handling missing values, removing duplicate records, and encoding categorical variables are necessary to ensure that the dataset meets the assumptions required for valid regression analysis.

Supporting this, research cited in the IJEDR (2025) by Mehta and Sharma (2022) demonstrated that removing outliers and cleaning data improved model performance significantly, while Singh and Gupta (2022) compared various regression models and found that proper preprocessing influenced predictive results across model types. These findings collectively support the rationale of this study: that systematic application of data cleaning techniques prior to fitting a Multiple Linear Regression model will yield measurably improved performance in global sales prediction.

Conceptual Framework



The conceptual framework of this case study describes a flow of events detailing the different phases of data analysis it proposes.

At the start of the research process, the raw datasets, primarily consisting of sales data records, are aggregated into the Input Phase. The Data Collection procedures inherent to the source influence the initial integrity of this data, essential to determining the mechanism of missing records. Afterwards, the raw data undergoes Data Preprocessing. Missing Value Imputation (MVI) and Data Cleaning procedures are performed to eliminate and mitigate the impact of data loss and satisfy the assumptions of linear modeling.

These refined inputs are sent to the Predictive Model, utilizing the Multiple Linear Regression model and Data Transformation techniques which will be discussed further in the methodology of this paper. Data Categories defined in the dataset, such as platform and genre, are utilized as control variable, taken into account to ensure the model's validity and scrutinize market biases. Once all processes are finished, results of the analysis are printed, presented and evaluated through the lens of model significance and accuracy of variable forecasting, especially determining and confirming the reliability of the model in predicting global video game sales.

Chapter 3: Methodology

Research Design

This study employs a quantitative explanatory research design to investigate the determinants of video game commercial success based on global sales. The study utilizes the Video Game Sales dataset from Kaggle, comprising over 16,000 entries. Data pre-processing was conducted using R, which involved data imputation to address missing values and a 70/30 train-test split. This partitioning ensures that the predictive model is trained on 70% of the data and validated against a 30% hold-out set to assess its generalizability.

The primary analytical framework is Multiple Linear Regression. To ensure the reliability of the regression coefficients and p -values, the model is evaluated against the four classical linear regression assumptions:

1. Normality - This refers to the distribution of the residuals. This study utilizes the Kolmogorov-Smirnov test.
2. Homoscedasticity - It is the spread of your residuals should be the same across all levels of your predicted values. This study utilizes the Breusch-Pagan test; a violation (heteroscedasticity) would suggest that the model's standard errors are biased.
3. Multicollinearity - This occurs when two or more of your independent variables are too highly correlated with each other. This study calculates the Variance Inflation Factor of each predictor to check if there are any high correlation between predictors.
4. Independence - This assumes that the residual for one observation is not related to the residual of another. This study will utilize the Durbin-Watson test to check for autocorrelation.

Data Collection

The dataset utilized in this study was collected from Kaggle, named Video Game Sales with Ratings by Rush Kirubi from <https://www.kaggle.com/datasets/rush4ratio/video-game-sales-with-ratings>.

Table 1: First Six Rows of Video Game Sales Data Overview

Global_Sales	Platform	Game_Age	Genre
82.53	Wii	10	Sports
40.24	NES	31	Platform
35.52	Wii	8	Racing
32.77	Wii	7	Sports
31.37	GB	20	Role-Playing
30.26	GB	27	Puzzle

Critic_Score	Critic_Count	User_Score	User_Count	Rating
76	51	80	322	E
NA	NA	NA	NA	NA
82	73	83	709	E
80	73	80	192	E
NA	NA	NA	NA	NA
NA	NA	NA	NA	NA

Data Imputation

The dataset have missing values (NA). To address the missing values, the dataset was imputed using a Predictive Mean Matching model.

Table 2: First Six Rows of the Data After Imputation

Global_Sales	Platform	Game_Age	Genre
82.53	Wii	10	Sports
40.24	NES	31	Platform

Global_Sales	Platform	Game_Age	Genre
35.52	Wii	8	Racing
32.77	Wii	7	Sports
31.37	GB	20	Role-Playing
30.26	GB	27	Puzzle

Critic_Score	Critic_Count	User_Score	User_Count	Rating
76	51	80	322	E
93	32	85	1588	E10+
82	73	83	709	E
80	73	80	192	E
80	66	92	709	E10+
92	96	85	594	T

Variables Description

Dependent Variable

- **Global_Sales:** We measure Global_Sales as the dependent variable, which is hypothesized to be influenced by the independent variables of platform popularity, game age, genre, critic scores and counts, user engagement, and content ratings.

Independent Variables

- **Platform:** May affect Global_Sales because some gaming platforms have larger user bases and stronger market demand than others.
- **Game_Age:** May influence Global_Sales since newer games often attract more buyers, while older games may experience declining sales over time.
- **Genre:** Can affect Global_Sales because certain game genres are more popular and appealing to players than others.
- **Critic_Score** May increase Global_Sales because games with higher review scores are more likely to attract consumers.
- **Critic_Count:** May affect Global_Sales since games reviewed by more critics usually gain greater visibility and public attention.
- **User_Score** May increase Global_Sales because games with higher review scores from users are more likely to attract more consumers.
- **User_Count:** May influence Global_Sales because higher player engagement and feedback often indicate stronger popularity.
- **Rating:** May affect Global_Sales by determining the target audience size and the accessibility of the game to consumers.

Data Analysis Techniques

- **Descriptive Statistics**

- **Five Number Summary** - Summarizes the overall characteristics of the dataset (minimum, first quartile, median, third quartile, and maximum). This helped identify the skewness in Global_Sales.
- **Frequency Distribution** - To show the frequency of the categorical variables (Platform, Genre, and Rating). It determines the most prevalent categories in the dataset.

- **Inferential Statistics**

- **Multiple Linear Regression** - The core technique used to model the relationship between multiple predictors (Platform, Game Age, Genre, Critic Score, Critic Count, User Score, User Count, and Rating) and the outcome (Global Sales).
- **Log-Transformation** - A mathematical transformation applied to the dependent variable ($\log(y)$) to stabilize variance and normalize the distribution, addressing the right-skewness identified in the descriptive phase.
- **Hypothesis Testing (p -values)**: A significance level of $\alpha = 0.05$ was established. Predictors with $p < 0.05$ were considered statistically significant contributors to global sales. Additionally, this technique is utilized in diagnostic checking to validate the model's assumptions. Specifically, for tests of Normality (Kolmogorov-Smirnov), Homoscedasticity (Breusch-Pagan), and Independence (Durbin-Watson), a p -value greater than 0.05 is required to fail to reject the null hypothesis, thereby confirming that the model meets the necessary statistical requirements for reliable inference.
- **Coefficient of Determination (R^2 and Adjusted R^2)**: These metrics were used to evaluate the goodness-of-fit, representing the proportion of variance in sales explained by the model. Additionally, it is also applicable for variable selection.

Chapter 4: Results and Discussion

Descriptive Statistics

Table 3: Five Number Summary

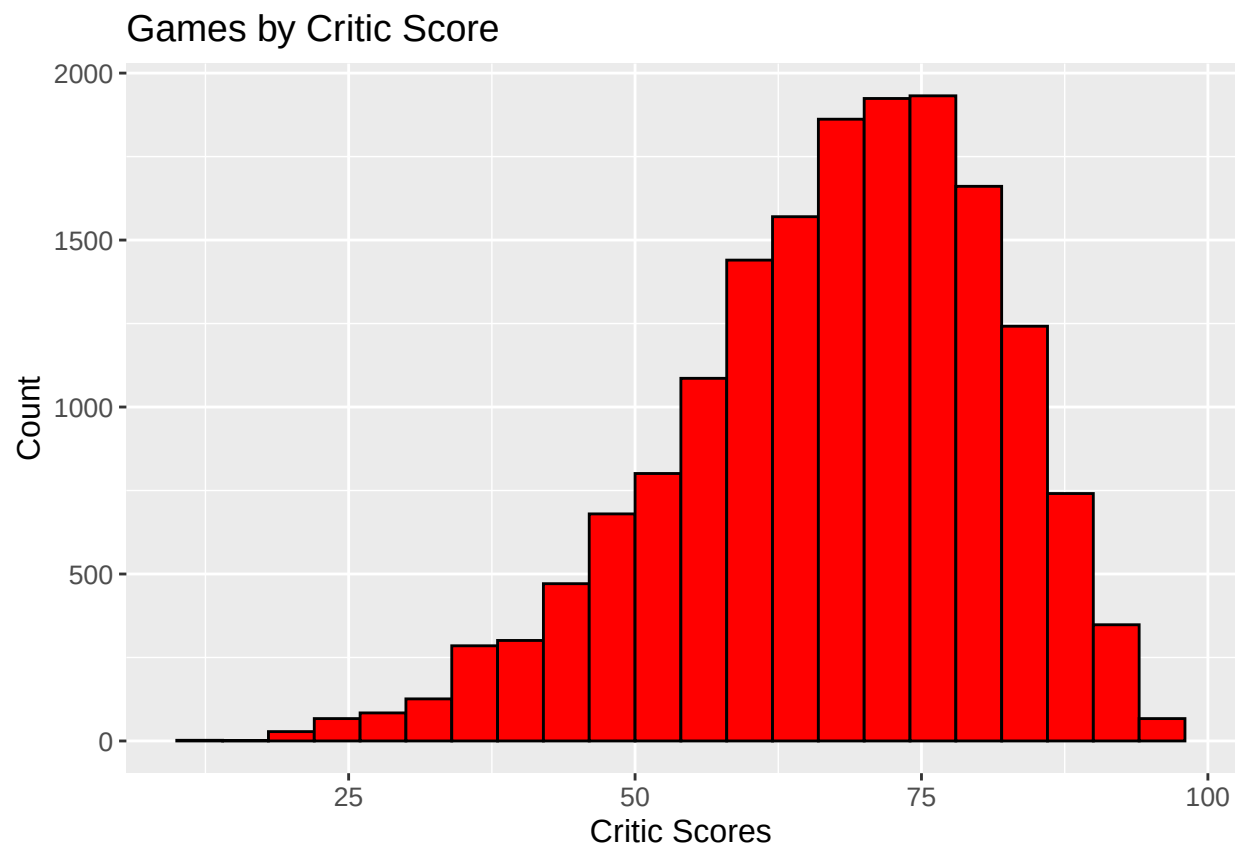
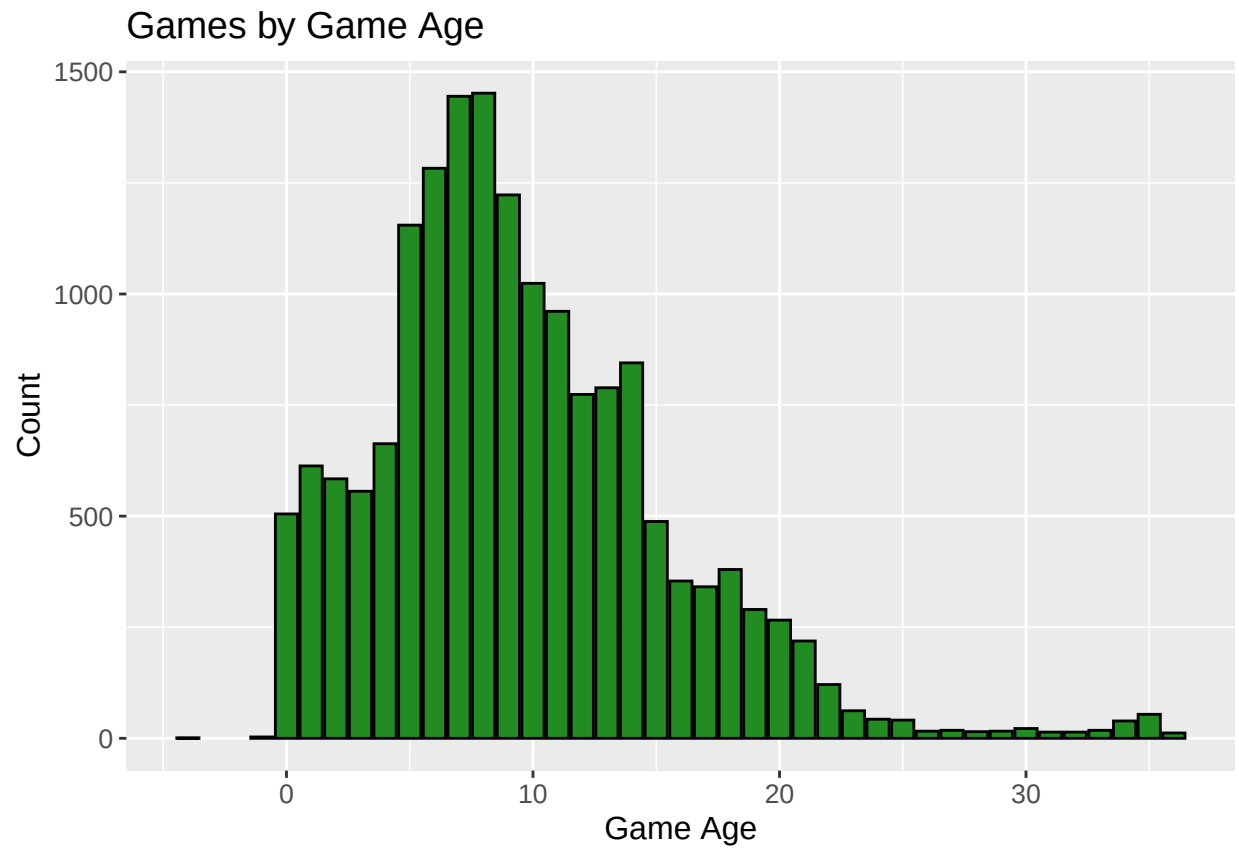
	Global_Sales	Game_Age	Critic_Score	Critic_Count	User_Score	User_Count
X	Min. : 0.0100	Min. :-4.000	Min. :13.00	Min. : 3.00	Min. : 0.00	Min. : 4.0
X.1	1st Qu.: 0.0600	1st Qu.: 6.000	1st Qu.:59.00	1st Qu.: 10.00	1st Qu.:63.00	1st Qu.: 8.0
X.2	Median : 0.1700	Median : 9.000	Median :70.00	Median : 18.00	Median :75.00	Median : 17.0
X.3	Mean : 0.5335	Mean : 9.525	Mean :67.87	Mean : 23.19	Mean :70.88	Mean : 102.7
X.4	3rd Qu.: 0.4700	3rd Qu.:13.000	3rd Qu.:78.00	3rd Qu.: 32.00	3rd Qu.:82.00	3rd Qu.: 46.0
X.5	Max. :82.5300	Max. :36.000	Max. :98.00	Max. :113.00	Max. :97.00	Max. :10665.0

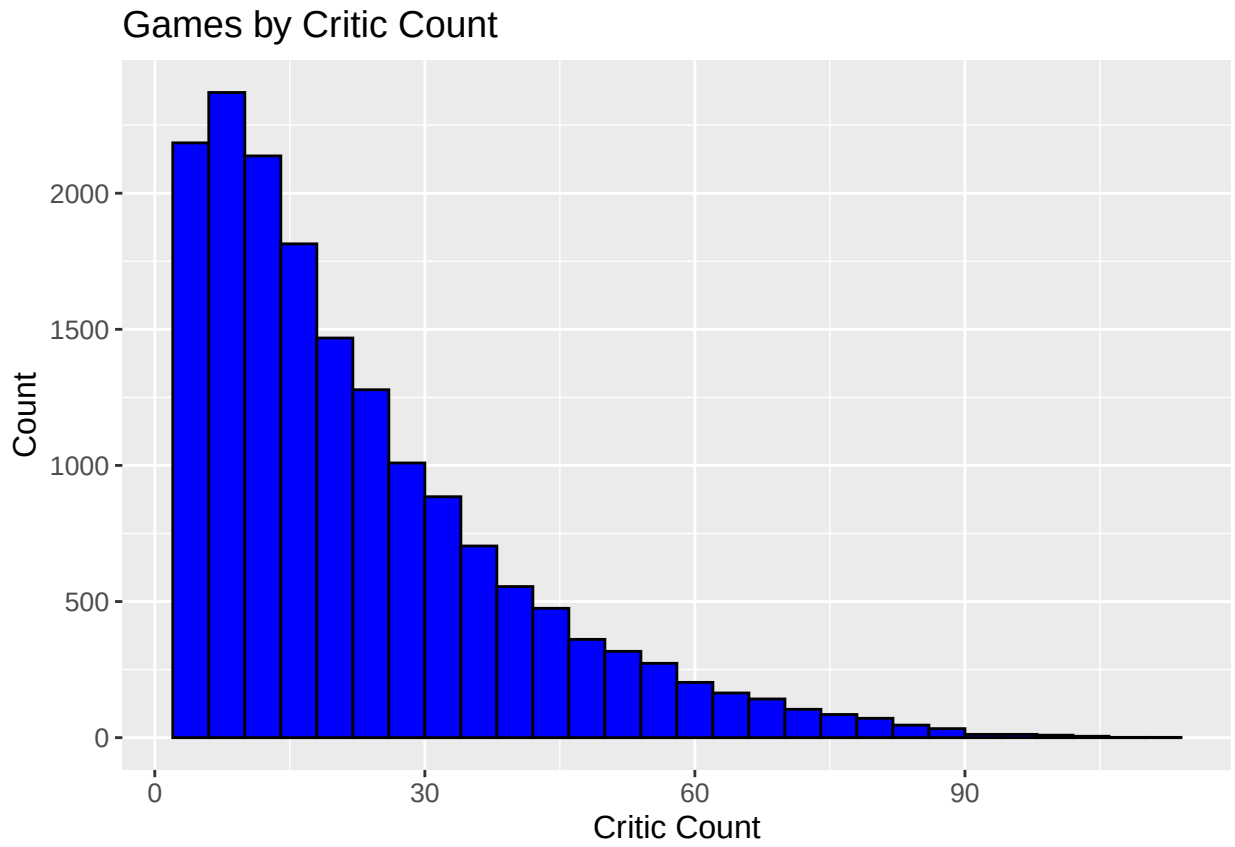
Table 4: Frequency Distribution

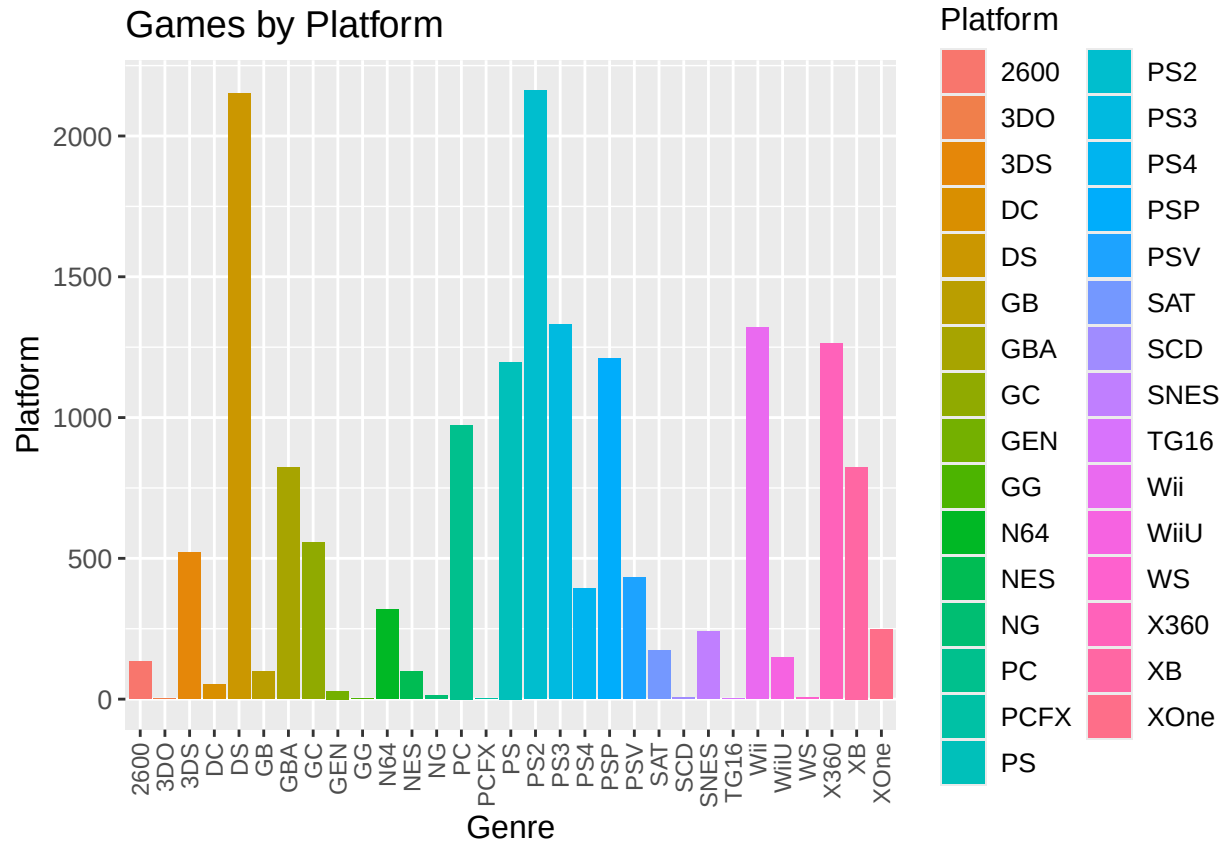
	Platform	Genre	Rating
X	PS2 :2161	Action :3370	E :6818
X.1	DS :2152	Sports :2348	T :5077
X.2	PS3 :1331	Misc :1751	E10+ :2495
X.3	Wii :1320	Role-Playing:1500	M :2305
X.4	X360 :1262	Shooter :1324	EC : 15
X.5	PSP :1209	Adventure :1303	RP : 5
X.6	(Other):7284	(Other) :5123	(Other): 4

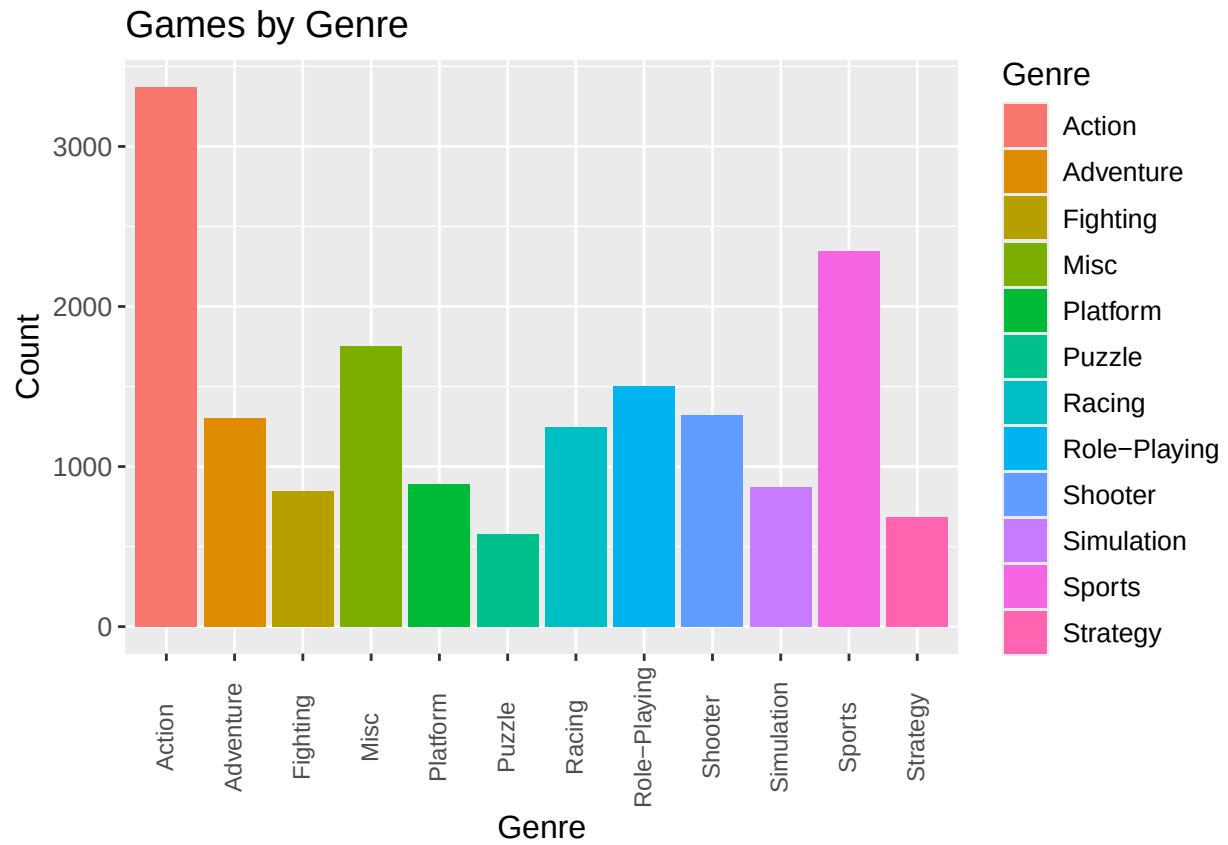
Table 3 and 4 presents the descriptive statistics for both numerical and categorical variables within the dataset. For numerical features such as Global Sales and Critic Scores, the table details the distributional characteristics through measures of central tendency and dispersion. For categorical features (Platform, Genre, and Rating), the summary provides the total observation count and data classification.

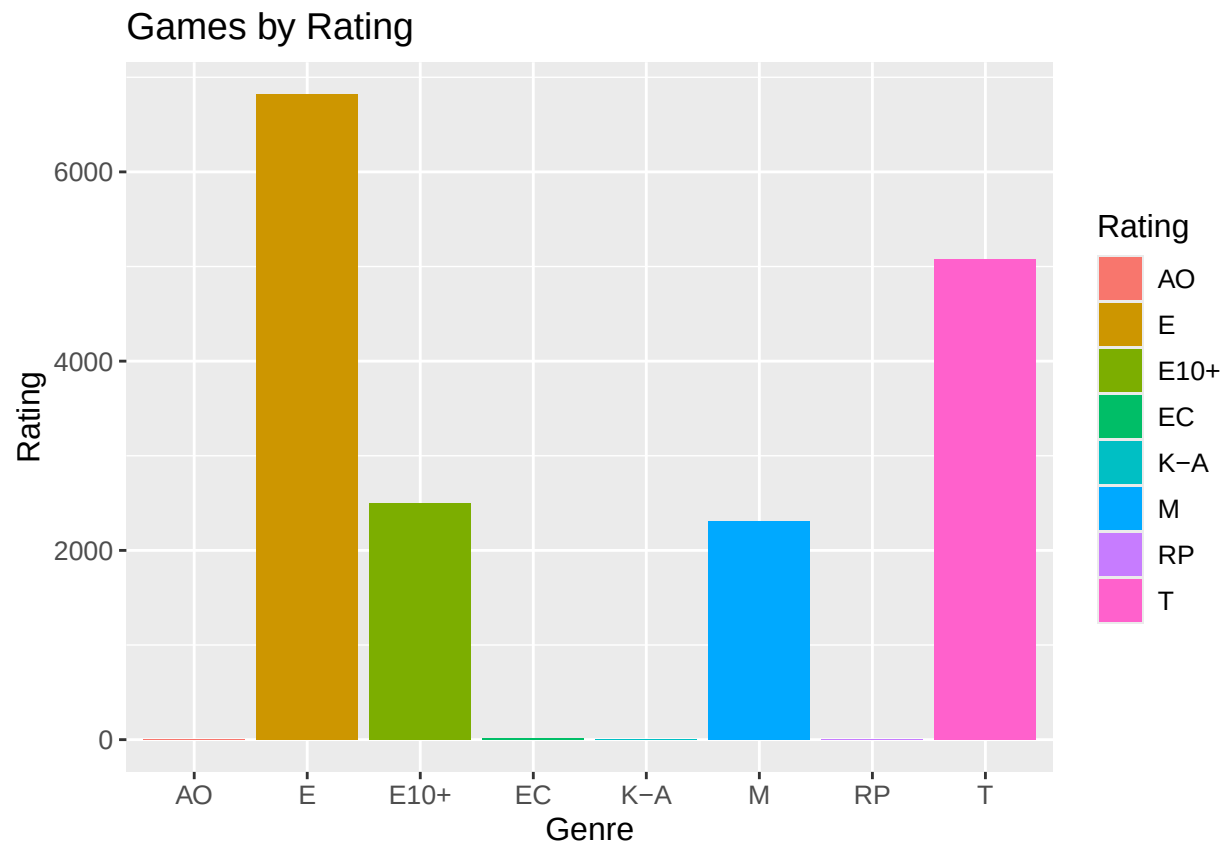
Visualization











Model

Following the data preprocessing and imputation phases, a Multiple Linear Regression model was constructed to quantify the relationship between various game attributes and their respective global sales. The dataset ($N = 16,719$) was randomly partitioned into a Training Set (70%) and a Test Set (30%) using a fixed seed.

The following tables present the estimated coefficients (β), the statistical significance of each predictor (p -value), and the overall goodness-of-fit metrics for the baseline model.

Table 5: Significant Predictors of Global Sales

term	estimate	std.error	statistic	p.value
(Intercept)	-1.7067	0.2713	-6.2910	0.0000
Platform3DS	1.1022	0.2609	4.2240	0.0000
PlatformDS	1.0662	0.2279	4.6775	0.0000
PlatformGB	2.7891	0.2510	11.1111	0.0000
PlatformGBA	0.8427	0.2129	3.9589	0.0001
PlatformGC	0.7303	0.2169	3.3662	0.0008
PlatformN64	0.7302	0.2111	3.4598	0.0005
PlatformNES	2.0781	0.2400	8.6580	0.0000
PlatformPS	0.8542	0.1906	4.4819	0.0000
PlatformPS2	1.0235	0.2117	4.8356	0.0000
PlatformPS3	1.1034	0.2421	4.5569	0.0000
PlatformPS4	0.9119	0.2741	3.3266	0.0009
PlatformPSP	0.9336	0.2323	4.0197	0.0001
PlatformPSV	1.0466	0.2663	3.9293	0.0001
PlatformSNES	0.7261	0.2078	3.4937	0.0005
PlatformWii	1.4342	0.2334	6.1455	0.0000
PlatformWiiU	0.9423	0.2943	3.2018	0.0014
PlatformX360	0.9916	0.2385	4.1574	0.0000
PlatformXB	0.6306	0.2145	2.9400	0.0033
PlatformXOne	1.2509	0.2816	4.4430	0.0000
Game_Age	0.0466	0.0064	7.2926	0.0000
GenreAdventure	-0.1457	0.0594	-2.4506	0.0143
GenrePlatform	0.1600	0.0714	2.2404	0.0251
GenrePuzzle	-0.2310	0.0868	-2.6610	0.0078
GenreRole-Playing	-0.1736	0.0576	-3.0163	0.0026
GenreStrategy	-0.2594	0.0773	-3.3547	0.0008
Critic_Score	0.0108	0.0014	7.4575	0.0000
Critic_Count	0.0170	0.0011	15.5144	0.0000
User_Score	-0.0037	0.0013	-2.9375	0.0033
User_Count	0.0012	0.0000	34.2236	0.0000
RatingM	-0.2235	0.0579	-3.8617	0.0001
RatingT	-0.1368	0.0415	-3.3003	0.0010

Table 6: Overall Model Fit Statistics

R-Squared	Adj R-Squared	Residual SE	F-Statistic	p-value
0.2143	0.2108	1.5027	61.1118	< 0.001

Interpretation

The multiple linear regression model was statistically significant ($F = 61.1118$, $p < 0.001$), indicating that the selected predictors collectively explain variation in global video game sales. The model explained approximately 2.14% of the variance in sales ($R^2 = 0.2143$). Several platform variables, particularly Game Boy, NES, Wii, and Xbox One, showed strong positive associations with global sales. Critic score and critic count were also significant positive predictors, suggesting that higher professional review ratings and greater review exposure are associated with increased sales. In contrast, genres such as Strategy and Puzzle exhibited negative effects on sales performance. Overall, the findings suggest that platform selection, genre, and review metrics significantly influence global video game sales.

Outliers, Leverage, and Influential Points

```
## 904 3927 8041 16644 13674 15563 657 7019 14227 12614 9712 7501 5010
## 312 509 706 827 1202 1210 1809 1882 2243 2336 2369 2417 3817
## 15079 1264 12121 14593 14637 9010 15636 9203 4298 5248 3263 6048 16183
## 4059 4215 4361 5487 5506 5789 6340 6345 6728 7355 7471 7815 7890
## 13970 13012 12665 13263 9962 13573 6766 8296 6652 6112 12525
## 8192 8250 8590 8855 8940 9780 9788 10041 10301 10595 11244
```

```
## named integer(0)
```

Diagnostic Checking

A. Normality

Statistical Test

- **Ho**: the residuals are normally distributed.
- **Ha**: the residuals are not normally distributed.

Table 7: Kolmogorov-Smirnov Test Results

Statistical Test	D	p-value	Status
Kolmogorov-Smirnov	0.2499	< 0.001	Violated

Based on the Kolmogorov-Smirnov test, the p-value is < 0.001. We reject the null hypothesis, therefore, the residuals are not normally distributed.

B. Homoscedasticity

Statistical Test

- **Ho**: Heteroscedasticity is not present.
- **Ha**: Heteroscedasticity is present.

Table 8: Breusch-Pagan Test Results

Statistical Test	BP	df	p-value	Status
Breusch-Pagan	144.5038	52	< 0.001	Violated

Based on the Breusch-Pagan test, the p-value is < 0.001 . We reject the null hypothesis, therefore, Heteroscedasticity is present.

C. Multicollinearity

- If **VIF** > 5 -> Moderate concern.
- If **VIF** > 10 -> Serious multicollinearity.

Table 9: Variance Inflation Factor (VIF) Results

Variable	VIF	Status
Platform	1.0500	Passed
Game_Age	2.7251	Passed
Genre	1.0477	Passed
Critic_Score	1.4537	Passed
Critic_Count	1.3901	Passed
User_Score	1.3769	Passed
User_Count	1.1491	Passed
Rating	1.0713	Passed

Since there is no high correlation with other independent variables, so it does not have a multicollinearity issue.

D. Independence

Statistical Test

- **H₀**: No auto-correlation.
- **H_a**: There exists auto-correlation.

Table 10: Durbin-Watson Test Results

Statistical Test	DW	p-value	Status
Durbin-Watson	2.0184	0.8398	Passed

Based on the Durbin-Watson test, the p-value is 0.8398. We fail to reject the null hypothesis, therefore, there are no auto-correlation.

Diagnostic Checking Summary

Table 11: Diagnostic Checking Summary

Assumptions	Statistical Test	Status
Normality	Kolmogorov-Smirnov	Violated
Homoscedasticity	Breusch-Pagan	Violated
Multicollinearity	Variance Inflation Factor	Passed
Independence	Durbin-Watson	Passed

The initial diagnostic tests (Table 11) revealed significant violations of normality and homoscedasticity, largely driven by the extreme right-skewness of the Global Sales data. To address this and ensure the validity of our statistical inferences, a logarithmic transformation will be applied to the dependent variable for the model transformation.

Model Transformation

The model is transformed using a Logarithmic model. The following are significant predictors and the overall goodness-of-fit metrics for the baseline model.

Table 12: Significant Predictors of Global Sales After Transformation

term	estimate	std.error	statistic	p.value
(Intercept)	-4.4144	0.2221	-19.8749	0.0000
Platform3DO	-1.5103	0.7246	-2.0845	0.0371
Platform3DS	0.9642	0.2136	4.5137	0.0000
PlatformDS	0.8609	0.1866	4.6135	0.0000
PlatformGB	1.7336	0.2055	8.4361	0.0000
PlatformGBA	0.6805	0.1743	3.9050	0.0001
PlatformGC	0.5557	0.1776	3.1289	0.0018
PlatformN64	0.6915	0.1728	4.0019	0.0001
PlatformNES	1.2680	0.1965	6.4528	0.0000
PlatformPS	0.7711	0.1560	4.9424	0.0000
PlatformPS2	1.0148	0.1733	5.8564	0.0000
PlatformPS3	1.3075	0.1982	6.5956	0.0000
PlatformPS4	1.0636	0.2244	4.7393	0.0000
PlatformPSP	0.5836	0.1901	3.0694	0.0021
PlatformPSV	0.4628	0.2181	2.1224	0.0338
PlatformSNES	0.4730	0.1702	2.7795	0.0055
PlatformTG16	-2.9100	1.2393	-2.3482	0.0189
PlatformWii	1.3408	0.1911	7.0175	0.0000
PlatformWiiU	0.9895	0.2409	4.1068	0.0000
PlatformX360	1.1441	0.1953	5.8593	0.0000
PlatformXB	0.4287	0.1756	2.4417	0.0146
PlatformXOne	1.4001	0.2305	6.0742	0.0000
Game_Age	0.0717	0.0052	13.7123	0.0000
GenreAdventure	-0.7793	0.0487	-16.0158	0.0000
GenreMisc	-0.1141	0.0460	-2.4816	0.0131
GenrePuzzle	-0.5534	0.0711	-7.7878	0.0000
GenreRacing	-0.1107	0.0531	-2.0854	0.0371
GenreRole-Playing	-0.1877	0.0471	-3.9845	0.0001
GenreStrategy	-0.5474	0.0633	-8.6463	0.0000
Critic_Score	0.0165	0.0012	13.9946	0.0000
Critic_Count	0.0187	0.0009	20.8019	0.0000
User_Score	-0.0034	0.0010	-3.3621	0.0008
User_Count	0.0006	0.0000	19.9352	0.0000
RatingK-A	1.8652	0.8721	2.1387	0.0325
RatingM	-0.1069	0.0474	-2.2556	0.0241
RatingT	-0.1544	0.0339	-4.5500	0.0000

Table 13: Overall Model Fit Statistics After Transformation

R-Squared	Adj R-Squared	Residual SE	F-Statistic	p-value
0.3018	0.2987	1.2302	96.8472	< 0.001

Interpretation

After the logarithmic transformation, the multiple linear regression model was still statistically significant ($F = 96.8472$, $p < 0.001$), indicating that the selected predictors collectively explain variation in global video game sales. The model explained approximately 3.02% of the variance in sales ($R^2 = 0.3018$), which is an improvement from the untransformed model ($R^2 = 0.2143$).

Outliers, Leverage, and Influential Points

```
## 904 3927 8041 16644 13674 15563 657 7019 14227 12614 9712 7501 5010
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## 13970 13012 12665 13263 9962 13573 6766 8296 6652 6112 12525
## 8192 8250 8590 8855 8940 9780 9788 10041 10301 10595 11244
```

```
## named integer(0)
```

Diagnostic Checking

A. Normality

Statistical Test

- **Ho**: the residuals are normally distributed.
- **Ha**: the residuals are not normally distributed.

Table 14: Kolmogorov-Smirnov Test Results After Transformation

Statistical Test	D	p-value	Status
Kolmogorov-Smirnov	0.0098	0.208	Passed

Based on the Kolmogorov-Smirnov test, the p-value is 0.208. We fail to reject the null hypothesis, therefore, the residuals are normally distributed.

B. Homoscedasticity

Statistical Test

- **Ho**: Heteroscedasticity is not present.
- **Ha**: Heteroscedasticity is present.

Based on the Breusch-Pagan test, the p-value is < 0.001 . We reject the null hypothesis, therefore, Heteroscedasticity is present.

Table 15: Breusch-Pagan Test Results After Transformation

Statistical Test	BP	df	p-value	Status
Breusch-Pagan	456.254	52	< 0.001	Violated

C. Multicollinearity

- If **VIF** > **5** -> Moderate concern.
- If **VIF** > **10** -> Serious multicollinearity.

Table 16: Variance Inflation Factor (VIF) Results After Transformation

Variable	VIF	Status
Platform	1.0500	Passed
Game_Age	2.7251	Passed
Genre	1.0477	Passed
Critic_Score	1.4537	Passed
Critic_Count	1.3901	Passed
User_Score	1.3769	Passed
User_Count	1.1491	Passed
Rating	1.0713	Passed

Since there is no high correlation with other independent variables, so it does not have a multicollinearity issue.

D. Independence

Statistical Test

- **Ho:** No auto-correlation.
- **Ha:** There exists auto-correlation.

Table 17: Durbin-Watson Test Results After Transformation

Statistical Test	DW	p-value	Status
Durbin-Watson	2.0031	0.566	Passed

Based on the Durbin-Watson test, the p-value is 0.566. We fail to reject the null hypothesis, therefore, there are no auto-correlation.

Diagnostic Checking Summary

Discuss findings in paragraph form.

Variable Selection

Interpretation

Table 18: Diagnostic Checking Summary After Transformation

Assumptions	Statistical Test	Status
Normality	Kolmogorov-Smirnov	Passed
Homoscedasticity	Breusch-Pagan	Violated
Multicollinearity	Variance Inflation Factor	Passed
Independence	Durbin-Watson	Passed

Chapter 5: Conclusion and Recommendations

Conclusion

Summarize key findings.

Recommendations

Provide practical suggestions

References

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Appendices

Appendix A: Code

```
# === R LIBRARIES ===

library(RKaggle)    # Access Kaggle
library(readr)      # File reading
library(dplyr)      # Data manipulation
library(tidyr)      # Data reshaping
library(stringr)    # String manipulation
library(forcats)    # Handling categorical factors
library(purrr)      # Functional programming
library(mice)       # Bayesian Linear Regression imputation
library(caret)      # Data splitting and pre-processing
library(car)        # Variance Inflation Factor (VIF)
library(lmtest)     # Testing for heteroscedasticity (Breusch-Pagan)
library(olsrr)      # Comprehensive OLS regression diagnostics
library(ggplot2)    # Main plotting engine
library(corrplot)   # Correlation matrices
library(knitr)      # Better summary table

set.seed(5)

# === DATA COLLECTION ===

# Get data from Kaggle
dataset <- read.csv("../Video_Games_Sales_as_at_22_Dec_2016.csv")

# Get data row count
data_row_count <- nrow(dataset)

# Drop all sales except global
dataset <- cbind(dataset[, -c(6:10)], dataset$Global_Sales)
dataset$Year_of_Release <- 2016 - dataset$Year_of_Release
names(dataset)[3] <- "Game_Age"
names(dataset)[12] <- "Global_Sales"

# Convert User Score to numeric
dataset <- dataset %>%
  mutate(User_Score = as.numeric(na_if(User_Score, "tbd")))
dataset$User_Score <- dataset$User_Score * 10

# Select only the columns you need by name
keep_columns <- c("Global_Sales",
                  "Platform",
                  "Game_Age",
                  "Genre",
                  "Critic_Score",
                  "Critic_Count",
                  "User_Score",
                  "User_Count",
                  "Rating")
```

```

# Overwrite the data with only those columns
data_subset <- dataset[, keep_columns]

data_subset$Platform <- as.factor(data_subset$Platform)
data_subset$Genre <- as.factor(data_subset$Genre)
data_subset$Rating <- as.factor(data_subset$Rating)

# Show the table before imputation
knitr::kable(head(data_subset[, 1:4], 6),
              caption = "First Six Rows of Video Game Sales Data Overview")
knitr::kable(head(data_subset[, 5:9], 6))

# Predictive Mean Matching (PMM)
imputed_data <- mice(data_subset,
                    method = "pmm",
                    m = 1,
                    maxit = 5,
                    seed = 123,
                    printFlag = FALSE)

# Complete the dataset
data <- complete(imputed_data, 1)

# Show the table after imputation
knitr::kable(head(data[, 1:4], 6),
              caption = "First Six Rows of the Data After Imputation")
knitr::kable(head(data[, 5:9], 6))

```